

losses. In Singapore too, the number of reported scam cases rose by 32.6% in 2022 compared to 2021, with losses totalling S\$660 million. According to the Australian Competition and Consumer Commission (ACCC), people in Australia have lost more than AU\$3.1 billion to scammers in the past year, which is more than an 80% increase from the year before. While not all these scams can be directly attributed to AI, officials fear the noticeable correlation between the rise of generative AI and such scams.

Fighting AI scams using AI (and a bit of the real stuff as well)

The Singapore Police Force, Europol, and FTC have been sharing their concerns about the potential misuse of generative AI to deceive the public. Tracking down voice scammers can be particularly difficult because they could be calling from any part of the world. And it would be near impossible to get the money back because such cases cannot be proved to your insurance guys either. So, financial institutions as well as consumers must be wary of the situation and try to prevent or avert fraud as far as possible. Say, if a loved one or a business partner calls you out of the blue and asks to transfer money to them, put the call on hold and call the person's direct line to confirm if it is true before you rush to their rescue.

Banks are also doing their bit to try and prevent scams, account takeovers, etc. Data analytics company FICO found that 50% more scam transactions were detected by financial institutions using targeted profiling of customer behaviour. That is, banks use models to examine typical customer behaviours and flag anything suspicious, like adding a suspicious account as a new payee or preparing to send the new payee an unusually large amount of money. The concerned bank employee could intervene to reconfirm such flagged actions.



US President Joe Biden gifts Indian Prime Minister Narendra Modi a T-shirt with a popular quote from his speech to the US Congress in June 2023 (Source: ABP Live)

Like the serum for snake bite is made of the same snake's venom, AI itself is essential to the detection and prevention of AI frauds! This year, Mastercard rolled out a new AI-powered tool to help banks predict and prevent scams in real time, before money leaves the victim's account. Mastercard's Consumer Fraud Risk tool applies the power of AI to the company's unique network view of account-to-account payments and large-scale payments data.

The press release explains that organised criminals move 'scammed' funds through a series of 'mule' accounts to disguise them. For the past five years, Mastercard has been helping banks counter this by helping them follow the flow of funds through these accounts, and then close them down. Now, by overlaying insights from this tracing activity with specific

analysis factors such as account names, payment values, payer and payee history, and the payee's links to accounts associated with scams, the new AI-based Consumer Fraud Risk tool provides banks with the intelligence necessary to intervene in real time and stop a payment before funds are lost. UK banks, such as TSB, which were early adopters of Mastercard's tool, claim that the benefits are already visible. Mastercard will soon be offering the service in other geographies, including India.

In response to rising criticism and concerns, makers of generative AI tools like chatbots and voice synthesisers have also taken to Twitter to announce that they are putting in checks to prevent misuse. ChatGPT claims it has restrictions against the generation of malicious content, but officials feel